1.2 Taxation Without Representation

If you borrow money from a friend to buy an amazing pair of sneakers, eventually you'll have to pay off your debt. But how can you do that if you don't have any money? The answer seems obvious—earn some money. But it wasn't that simple for King George and Parliament.

MAIN IDEA British attempts to impose taxes and exert greater control over the colonies caused growing anger and resentment among colonists.

WAR DEBT

The French and Indian War had been an expensive undertaking for the British government. Maintaining and supplying an army in distant colonies had left King George with a hefty debt. In addition, Britain was still keeping 10,000 soldiers in North America to protect the colonies. The British government needed **revenue**, or income, to pay off its debts and expenses.

King George appointed a new prime minister, George Grenville, who agreed that the colonies should be strictly controlled by Britain. Grenville concluded that the colonies should pay for the war debt and the continuing maintenance of the troops in North America. After all, he reasoned, the colonies had benefited the most from the French and Indian War. To raise the money, Grenville sought ways to tax the colonies directly, rather than allowing colonial assemblies to pass taxes. What followed was a series of acts that would have big consequences.



King George III

King George III (1738–1820) ruled Britain for 59 years. "Born and educated in this country," he said, "I glory in the name of Britain." But the war with America was hard on George. He became seriously ill around 1788 and continued to decline until 1811, when his son, George IV, became the acting king and eventually took the throne. A 2005 study of a hair sample from George III suggested that the king may have become ill and died from arsenic poisoning.

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Colonial Currency
Colonial currency came in different shapes, and its designs were very detailed, as the five-pound note (left) issued in New York in 1759 shows. The Pennsylvania 15-shilling note below was produced by Benjamin Franklin and issued on January 1, 1756. It featured multiple anti-counterfeiting processes invented by Franklin, including the blue thread that ran through the note.



ACTS OF PARLIAMENT

The **Sugar Act** of 1764 was among the first of the new taxes. This law was designed to raise revenue as well as to reinforce British control over the colonies. The Sugar Act actually lowered the **duty**, or tax, on the imported molasses used to produce rum in the colonies. The goal of the Sugar Act was to encourage merchants to pay the lower duty instead of smuggling molasses into the colonies to avoid paying the tax, as they had been doing before. This would then increase revenue to the British government.

The **Currency Act**, also passed in 1764, aimed to more tightly control the colonial economy. Previously, different colonies had issued their own paper money. The Currency Act declared that only British currency could be used in the colonies. As colonists discarded the now-useless colonial paper money, the resulting shortage of British currency in the colonies created a number of economic difficulties.

Not surprisingly, the colonists voiced several **grievances**, or objections, to Britain's attempts to tax and control them. They had come to resent the policy of mercantilism—trade designed to bring wealth primarily to the mother country—which was now strengthened by the Sugar Act and Currency Act. The colonists were further frustrated when a new prime minister tightened the Navigation Acts, which controlled colonial trade and shipping, to benefit Britain.

Some accused the British of **tyranny**, or unjust rule by an absolute ruler. They used the slogan "no taxation without representation." Colonists argued that Parliament did not have the right to impose direct taxes on them because they did not have representatives in Parliament who could vote on taxes.

HISTORICAL THINKING

1. **READING CHECK** In what ways did the British government try to raise revenue and control the colonies at the same time?
2. **MAKE INFERENCES** How did the Sugar Act and Currency Act reinforce Britain's policy of mercantilism?
3. **ANALYZE CAUSE AND EFFECT** What impact did these acts likely have on the ways colonists did business?

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